Strategic Management Reflection Paper

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Three brands that knew what they were selling:

The Souled Store, New Balance and LVMH

On paper these 3 companies have nothing in common. One sells licensed Marvel and anime T-shirts to college students in India. One makes grey running shoes that sneaker fans mocked for most of the last decade. One owns Louis Vuitton, Dior, Moët and Tiffany. What ties them together is that each picked a narrow customer, refused to chase everyone else, and built something behind that choice that rivals struggle to copy. To test that idea, I looked at each brand through a case or framework from class: Blue Ocean thinking for The Souled Store, the Palantir case for New Balance and the Thyrocare case for LVMH, with VRIO and agency theory running across all of them. I expected ownership to be the common thread, since it decides who can tell the person at the top that he is wrong. It explains a lot, but LVMH showed me where it stops explaining.

The Souled Store: paying for what everyone else faked

In 2013, 4 friends in Mumbai started The Souled Store with about ₹5.5 lakh of their own savings. The gap they saw was sitting in every street market. Indian fans wanted Batman and Harry Potter merchandise, and what they could actually buy was either a blurry knock-off for a couple of hundred rupees or an imported official product at several times the price. Nobody served the middle, through the Blue Ocean lens, the founders redrew the offer rather than fighting on price. They took the slow route anyway, and the company now holds more than 200 official licences covering Marvel, DC, Harry Potter, anime titles like One Piece and Naruto, and IPL teams. For them the licence is the product. That is value innovation in the textbook sense, differentiation and low cost at once, and it made the street sellers irrelevant instead of beating them. The resource behind it is the licence portfolio, and it passes the VRIO test mainly because of time. Each licence is negotiated with one studio at a time, royalties are paid on sales, and studios want a track record before they sign.

Once the licences and the fan base were in place, the company moved sideways rather than starting over: from tees into joggers, hoodies, sneakers and accessories, and from a website into more than 40 mall stores. The limitation is that most licences are not exclusive, so a blue ocean turns red once others learn the route. Bewakoof, Redwolf and hundreds of Instagram sellers moved in. The company answered by buying Redwolf, its closest rival in licensed merchandise, in April 2025, and by opening more than 40 mall stores. Running shops is a different capability from running a website, and closing that gap takes time and money. Since the founders still run the business, the people making this bet are largely the people who own it.

New Balance: winning the shelf the market leader walked away from

For most of the 2010s, New Balance was the shoe that fathers wore to mow the lawn. It was privately owned by Jim Davis, who bought it in 1972, it still ran factories in the US and the UK when almost every rival had moved production to Asia, and it spent little on celebrity endorsements. Palantir left China out of its market sizing because serving it clashed with its values, and the case asks whether a commitment like that is an asset or a liability. New Balance's version was its domestic factories. For years they looked like pure cost.

Then Nike made a decision that looked smart on a spreadsheet. From around 2020 it cut many wholesale partners to push shoppers towards its own app and stores, where margins are higher and the customer data belongs to Nike. The CEO behind that plan was John Donahoe. A decade earlier, at eBay, he had kept PayPal inside the company even as analysts argued it was worth more on its own, and the split only came after the activist investor Carl Icahn bought in and campaigned for it. At Nike, the people who used to walk into Foot Locker or a local running shop did not all follow the brand online. They bought what was on the shelf, and more and more that meant New Balance, Hoka or On. Nike's board replaced Donahoe with Elliott Hill, a company veteran, in October 2024, and he has been rebuilding the retail relationships since. By then much of the shelf space had changed hands.

New Balance was ready because of choices it made years earlier. The domestic factories let it run small, quick batches for collaborations with labels like Aimé Leon Dore, and they make models like the 990 feel crafted rather than mass-produced. A rival cannot copy that in a quarter. It would have to reopen plants at home and then wait years for customers to believe the story. Being private meant no analyst could punish the company for keeping those plants open, and the owner was close enough to see the whole picture. Palantir's leaders held their stance even while the share price went nowhere, and in the same way the Davis family could keep the plants open without an analyst punishing them. Sales went from about $6.3 billion in 2023 to about $7.7 billion in 2024 and $9.2 billion in 2025, with the average selling price up around 30% over 5 years. What stands out to me is that New Balance did not beat Nike at Nike's game. Nike's problem was its own certainty, and nobody close enough to the top stopped it in time. New Balance has not yet had to prove which it was. So Palantir's question has no permanent answer. A value turns into an advantage only while the market happens to reward it.

LVMH: through Thyrocare lens

Thyrocare looks like the opposite of LVMH, which is why it helped. Arokiaswamy Velumani built India's most profitable diagnostics chain by choosing to be the kitchen and not the restaurant. He processed most samples in one central lab, left collection to franchise partners, offered about 200 tests where rivals offered 2,500 to 4,000, and priced them far below the market. Every choice fed the next, because cost per test fell as volume rose. Rivals could copy one piece but not the whole system. LVMH has the same kind of fit pointed the other way. Thyrocare needed volume, and LVMH needs scarcity. So LVMH owns the restaurant. It runs its own stores, holds no end-of-season sales, sends nothing to outlets and, until France banned the practice from 2022, destroyed unsold stock rather than mark it down. Each refusal protects the others.

The portfolio of about 75 houses is a related diversification that shares real things: store leases, media buying, and designers who move between brands. That is why paying $15.8 billion for Tiffany in 2021 made sense for LVMH in a way it would not for an unrelated buyer. Ownership looks similar too. Velumani was founder, chairman and CEO, and Bernard Arnault is chairman and CEO. His family held just over 50% of the capital and 65.94% of the voting rights by February 2026, and shareholders voted in 2025 to raise the CEO age limit to 85 so he could stay. In agency terms the classic problem shrinks when the manager's own money is at risk. Succession is where the two differ. Velumani sold a 66.1% stake in Thyrocare to PharmEasy in 2021. At LVMH the question will be settled inside one family.

This is also where my thesis ran into trouble. In 2025, under the most concentrated ownership of the three, LVMH's revenue fell about 5% to €80.8 billion and net profit fell 13%. Family control did not prevent that. The Five Forces map of the premium segment we discussed in class explains why.

Rivalry at the top is soft because houses compete on heritage and cultural authority, but the aspirational middle is vulnerable to down-trading, and resale sites and 'masstige' brands are real substitutes. After the post-pandemic price rises, the office worker saving for one special bag stepped away. Nike failed because nobody at the top questioned the plan. LVMH hit a ceiling in the market. Strong owners guard against the first kind of failure, but not the second.

What each lens showed me

	Lens I applied	**Hard-to-copy resource**	**Who checks the top**	**Where the story is weakest**
The Souled Store	Blue Ocean (ERRC), VRIO	200+ licences built over a decade	Founders who are also owners	Licences are not exclusive; margins near 2.6%
New Balance	Palantir case, VRIO, agency theory	Domestic factories and heritage models	A private owner, with no quarterly pressure	US-made shoes are a small share; success rode a fashion trend
LVMH	Thyrocare case, related diversification, Five Forces	Scale across 75 houses and full control of retail	The Arnault family, with majority control	Aspirational buyers trading down; succession

If I had to sum up what these three taught me, it would be that strategy is mostly a list of things a company agrees not to do. The Souled Store would not sell fakes, New Balance would not shut its factories, and LVMH would not discount. Each refusal looked expensive when it was made and later became hard to copy. Nike added a second lesson: a refusal only helps if someone near the top is allowed to question it. LVMH added a third, which I did not expect. Good ownership keeps a company honest about its own blind spots, but no board can argue a customer back into the store.